AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

B326

Advanced Financial Accounting

Mid-term Examination – VC
Summer Semester 2025-2026

6 – August – 2026

Number of Pages: 3 (including this cover sheet)	**Time Allowed: 2 hours**

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Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided.
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches.
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination.
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Question 1 (21 marks)

A- Identify 5 reasons for business combination with a brief explanation of each reason. (10 marks)

B- Suffolk's Sporting Goods had net assets consisting of the following:

	Book Value	Fair Value
Cash	$60,000	$60,000
Inventory	320,000	350,000
Building and Fixtures	150,000	120,000
Accounts Payable	50,000	55,000
Long-term Liabilities	100,000	90,000

Paisley Incorporated purchased Suffolk's Sporting Goods, and immediately dissolved Suffolk's as a separate legal entity.

Required:
If Suffolk's was purchased for $560,000 cash, prepare the journal entries to record the business combination on the books of Paisley. (11 marks)

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Question 2 (40 marks)

Pluto Corporation acquired a 70 percent interest in Saturn Corporation on January 1, 2024, for $350,000, when Saturn's stockholders' equity consisted of $240,000 capital stock and $110,000 retained earnings. On this date, the book value of Saturn's assets and liabilities was equal to the fair value, except for inventories that were undervalued by $10,000 and sold in 2024, and plant assets that were undervalued by $40,000 and had a remaining useful life of eight years from January 1. Saturn's net income and dividends for 2024 were $35,000 and $5,000, respectively.

Separate-company balance sheet information for Pluto and Saturn Corporations at December 31, 2024, follows (in thousands):

	Pluto	Saturn
Cash	$ 500,000	$ 205,000
Dividends receivable	3,500	
Inventories	500,000	160,000
Plant assets—net	800,000	200,000
Investment in Saturn	360,500	---
	$ 2,164,000	565,000
Dividends payable	36,500	5,000
Long-term debt	549,500	180,000
Capital stock	1,000,000	240,000
Retained earnings	578,000	140,000
	$ 2,164,000	565,000

Required:

Prepare the required elimination entries and prepare the consolidated balance sheet workpaper for Pluto Corporation and Subsidiary at December 31, 2024. *Show all required computations.*

Question 3 (39 marks)

Porto Corporation has acquired 90% of Sentiago's company stock for $135,000 on January 1, 2023, when Subsidiary equity consists of $80,000 capital stock and $30,000 retained earnings.

- Sentiago had net income of $30,000 and had dividends of $10,000 which was recorded as payable by Sentiago but not recorded yet by Porto Corporation.
- In time of acquisition a building was undervalued by $20,000, the building has a useful life of 2 years.
- Any difference between book and fair value above the 20,000 will be assigned to goodwill.

Required: Using Equity Method

Prepare the elimination entries required for consolidation on December 31, 2023. *Show all required computations.* State which items have been amortized and which have not, and why.

[End of Questions]

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